

Nike Intrinsic Valuation – Summary Memo

Purpose

The purpose of this analysis is to estimate Nike's intrinsic equity value using a discounted cash flow framework and assess whether the current market valuation reflects realistic assumptions around long-term growth, margin recovery, and cost of capital.

Valuation Approach

Nike was valued using a multi-stage DCF model incorporating a forward operating forecast and a terminal value derived from a perpetual growth assumption. The forecast reflects normalized revenue growth and operating margins informed by historical performance and industry context. Free cash flows were discounted using a market-based WACC reflecting current interest rate conditions.

Base Case Results

Under base case assumptions, the model produces an intrinsic equity value that is sensitive to long-term margin normalization and discount rate inputs. The base case reflects moderate growth and conservative profitability recovery rather than peak-cycle performance.

Sensitivity & Risk Considerations

Sensitivity analysis shows that valuation outcomes are most affected by:

- Terminal operating margin assumptions
- Weighted average cost of capital
- Long-term growth expectations

Given Nike's long-duration cash flows, small changes in WACC result in material changes in equity value. This highlights the importance of cost-of-capital assumptions in a higher-rate environment.

Market Context

The intrinsic valuation was benchmarked against public comparables and current market pricing. While Nike benefits from brand strength and global scale, market valuation appears to price in relatively optimistic long-term assumptions, leaving limited margin for error under downside scenarios.

Conclusion

This analysis suggests that Nike's valuation is driven less by near-term performance and more by long-term assumptions around profitability and capital costs. As a result, valuation risk is concentrated in terminal assumptions rather than forecast-period execution, making the stock particularly sensitive to macro and rate-driven changes in investor expectations.